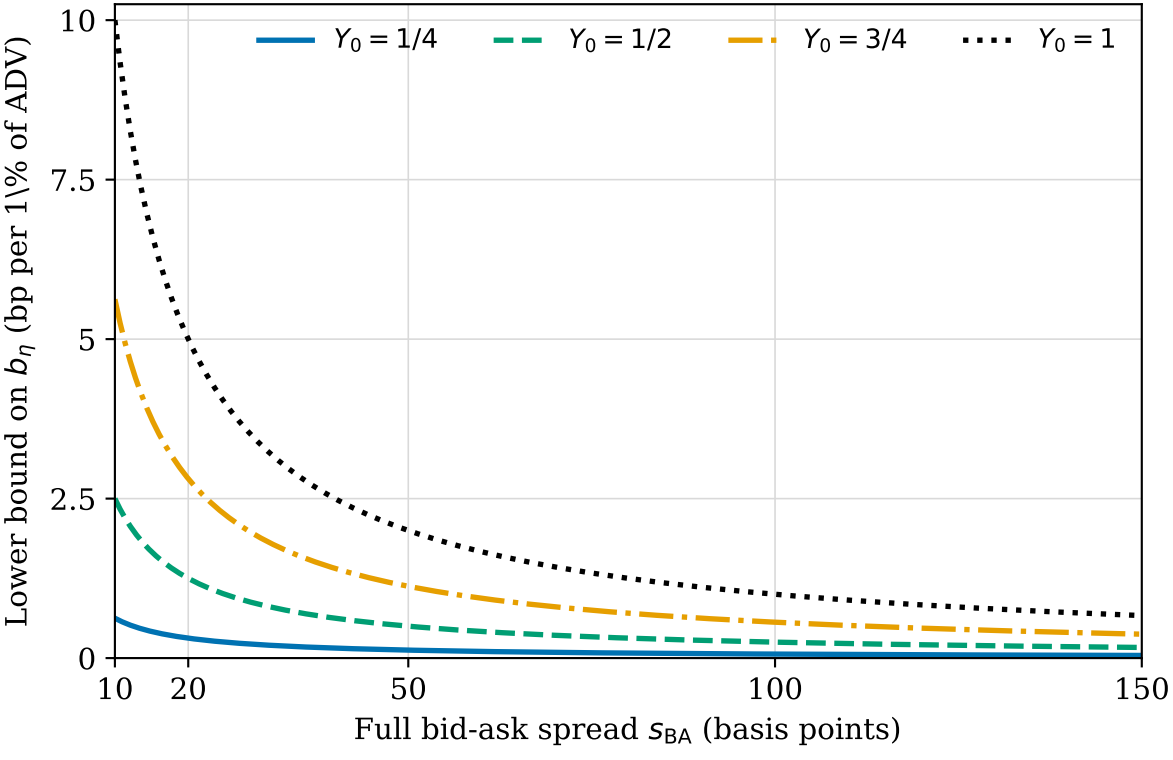
$Y_0 = 1/4$
$Y_0 = 1/2$
$Y_0 = 3/4$
$Y_0 = 1$
Lower bound on b_η (bp per 1\% of ADV)
10
7.5
5
2.5
0
10
20
50
100
150
Full bid-ask spread s_{BA} (basis points)